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AI

Three weeks after acquiring Windsurf, Cognition offers staff the exit door

Rebecca Bellan — 8:24 AM PDT · August 5, 2025

IMAGE CREDITS: COGNITION

Cognition, the AI coding startup that acquired rival company Windsurf three weeks ago, laid off 30 employees last week and is offering buyouts to the roughly 200 remaining employees on the team, reports The Information.

This is the latest bout of whiplash that Windsurf employees have faced after a tumultuous stretch for the company. The startup was initially almost acquired by OpenAI, then lost its CEO, co-founder, and research leads to Google in a $2.4 billion deal known as a reverse-acquihire (where Google hired the key talent rather than buying the company), before ultimately getting acquired by Cognition.

At the time of the acquisition, Cognition stated that 100% of Windsurf employees would receive financial compensation as part of the deal and stressed that the company was excited to bring on Windsurf's "world-class people" to develop top-notch coding tools.

Now, it's becoming clear that Windsurf's intellectual property, not its talent, was the real buy.

According to an email The Information viewed, employees were given until August 10 to decide whether they want to take the buyout, which amounts to nine months of salary. Those who choose to stay are reportedly required to spend six days at the office and clock more than 80-hour

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weeks — draconian conditions that have become table stakes among workers at top AI firms.

"We don't believe in work-life balance—building the future of software engineering is a mission we all care so deeply about that we couldn't possibly separate the two," wrote Cognition CEO Scott Wu in the email.

TechCrunch has reached out to Cognition for more details.

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Cognition, maker of the AI coding agent Devin, acquires Windsurf

Maxwell Zeff 11:51 AM PDT · July 14, 2025

IMAGE CREDITS: COGNITION

Cognition, the startup behind the viral AI coding agent Devin, announced in a blog post on Monday that it has signed a definitive agreement to acquire AI coding startup Windsurf.

The announcement comes just days after Google hired away Windsurf's CEO Varun Mohan, co-founder Douglas Chen, and research leaders in a $2.4 billion reverse-acquihire that left much of the startup's 250-person team behind. Google's deal occurred just hours after OpenAI's $3 billion offer to acquire Windsurf expired, clearing the way for the AI coding startup to explore other options.

The frenzy around Windsurf represents a new peak in the wild race to develop AI coding tools — specifically, the AI-powered integrated development environments (IDEs) that Cursor and Windsurf offer. In recent months, the businesses around AI-powered IDEs have skyrocketed, pushing Cursor's annualized recurring revenue (ARR) to $500 million. While Windsurf's business is smaller than Cursor's, it has achieved impressive growth in the last year, garnering interest from several larger companies.

"The last 72 hours have been the wildest rollercoaster ride of my career," said Jeff Wang, Windsurf's former head of business, who was made interim CEO of the startup days ago after Google hired the startup's leaders, in a post on LinkedIn. "To our new teammates at Cognition: we at Windsurf feel incredibly lucky to be joining a team that shares our vision, our deep commitment to our users, and — most importantly — our values."

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Cognition says it's acquiring Windsurf's IP and product, which include its AI-powered IDE, alongside all of the employees who were not hired by Google.

Cognition did not announce the price it acquired Windsurf for; however, the company says Windsurf reached $82 million in ARR, with enterprise ARR doubling quarter-over-quarter. Cognition says Windsurf's user base reached at least 350 enterprise customers and "hundreds of thousands" of daily active users.

In the near term, Windsurf's team will continue working on its AI-powered IDE, while Cognition works on its AI coding agent, Devin, the companies said in a press release. Eventually, Cognition says it will integrate Windsurf's IP and capabilities into its own products.

TechCrunch reported in April that Windsurf's ARR had reached $100 million at one point. However, Anthropic — which offers some of the most popular AI models for coding tasks — cut Windsurf's direct access to its Claude AI models in June, with Anthropic co-founder Jared Kaplan attributing the decision to rumors that OpenAI, its largest competitor, was close to acquiring Windsurf. Several Windsurf customers told TechCrunch they switched to other services that offered Claude AI models, such as Cursor, in light of the incident.

Cognition notes in its press release that Windsurf will now have full access to Claude AI models once again.

Over the weekend, The Information reported that Windsurf employees who had joined in the last year did not receive a payout in Google's billion-dollar reverse-acquihire. That prompted many users on social media to scoff at the deal, which seemed to largely benefit investors and leaders at the startup.

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Cognition president Russell Kaplan indicated in a post on X that the Windsurf acquisition truly came together over the weekend, just hours after the Google deal was made public. He noted that the first call was made after 5 p.m. on Friday and that an agreement was signed Monday morning.

Incredibly excited to share that Cognition is acquiring Windsurf. What an insane weekend – from first call after 5pm on Friday to a signed definitive agreement this morning. There's a lot to build! https://t.co/UxwOG3QHVg

— Russell Kaplan (@russelljkaplan) July 14, 2025

Cognition notes in its blog post that 100% of Windsurf employees will participate financially in this deal and have vesting cliffs waived for their work to date.

With the addition of Windsurf's talent and IP, Cognition may have a supercharged startup to compete with giants in the AI coding space, such as OpenAI, Anthropic, and Cursor. In March, Cognition reportedly held talks to raise hundreds of millions of dollars at a $4 billion valuation. It's unclear if the round closed, but Cognition may need such a war chest to compete in the AI coding space.

Cognition was one of the first AI startups to launch a fully fledged AI coding agent, Devin, which didn't just help with tasks, but also promised to automate them completely as if it were a junior software engineer. This was a markedly bold approach compared to Cursor and Windsurf, which offered environments for developers to easily access AI tools. However, early reviews found that Devin made mistakes, perhaps indicating that its AI agent technology was ahead of its time.

That may no longer be the case. In recent months, Cursor and Windsurf have started offering more agentic AI products that are starting to resemble what Cognition offers. In a recent interview, Cursor CEO Michael Truell said he believes AI reasoning models are advancing enough to make coding agents viable and that he expects 20% of coding workflows to be handled by agents by 2026.

Now Cognition has the versatility of offering both AI coding agents and an AI-powered IDE, perhaps enhancing its value proposition. Earlier this week, Cognition also landed a major customer in the Wall Street juggernaut Goldman Sachs.

With the acquisition of Windsurf, it seems Cognition has become a more serious competitor in the AI coding space.

Update: A previous version of this article misstated what Windsurf's team will be doing at Cognition in the near term. This article was updated on July 14 to note that Windsurf's team will continue its normal work for now, and will eventually integrate its products into Cognition's offerings. We regret the error.

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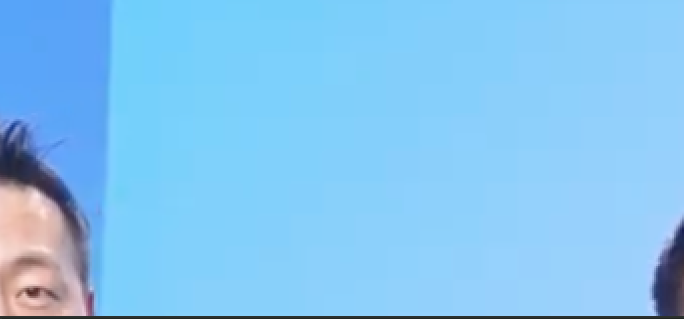

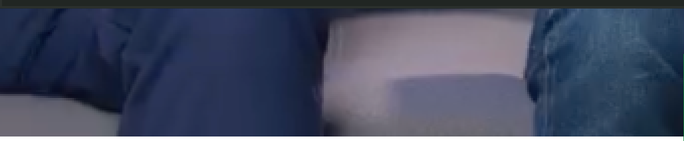

IMAGE CREDITS: COGNITION

Days after AI coding startup Windsurf announced that it's being acquired by Cognition, Windsurf exec Jeff Wang took to X to offer more details about the drama and uncertainty around the deal.

Windsurf was previously reported to be in acquisition talks with OpenAI, but that deal fell apart, with Google DeepMind instead hiring the startup's CEO Varun Mohan, co-founder Douglas Chen, and some of its top researchers. Google would reportedly license Windsurf's technology as part of the $2.4 billion deal — but not take an equity stake in the company.

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This looked like the latest in the trend of "reverse acqui-hires," in which large tech companies seek to avoid antitrust scrutiny by hiring key startup team members and licensing their technology, rather than acquiring startups outright.

But what happens to the startups and the employees who get left behind? As we discussed on the latest episode of Equity, one startup founder compared the departing Windsurf executives to a captain abandoning his crew on a sinking ship.

Wang, who had been Windsurf's head of business, became the company's interim CEO after Mohan's departure. In his post on X, he offered some sympathy to Mohan and Chen, who he described as "great founders" in a situation that "must have been difficult for them as well."

Still, Wang recounted an all-hands meeting on Friday, June 11, where most team members were expecting to hear about the OpenAI acquisition. Instead, he had to share the news about the Google deal and resulting departures.

"The mood was very bleak," Wang said. "Some people were upset about financial outcomes or colleagues leaving, while others were worried about the future. A few were in tears, and the Q&A had been understandably hostile."

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In Wang's view, although the company "had lost some great people and taken a serious blow to morale," it still had "all of our IP, product, and strong talent including an excellent [go-to-market] machine." So Windsurf could still try to raise more money, sell, or just keep going.

That evening, however, Wang heard from Cognition executives Scott Wu and Russell Kaplan, and he said Windsurf leadership "took the Cognition approach very seriously from the start and launched right into negotiations." In his telling, what followed was a frantic weekend of discussions with Cognition, while considering inbound interest from other potential acquirers and meeting with Windsurf's remaining engineers to convince them not to leave. (And as all that was happening, "the timeline was exploding with memes and commentary.")

The two companies are a good fit, Wang argued, in part because of complementary teams.

"While [Cognition] had overinvested in engineering, they had frankly underinvested in GTM and Marketing, and our teams in those functions are nothing short of world class," he said. "On the other hand, we now were missing a Core Engineering team, and there's no better group of AI engineers than the lineup Cognition has assembled."

Plus, Wang said he and Wu (pictured together above) were aligned on the need to "take care of all Windsurf employees."

"That resulted in a key part of the deal: structuring it to give a payout to every employee, to waive all cliffs, and to accelerate all vesting for Windsurf equity," he said.

The acquisition agreement was apparently signed at 9:30 am on Monday morning, announced to the team shortly afterwards at another all-hands, then announced to the public shortly after that.

In an interview with Bloomberg, Wang described that Friday all-hands as "probably the worst day of 250 people's lives," followed Monday by "probably the best day."

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ENTERPRISE

Microsoft lays off an ethical AI team as it doubles down on OpenAI

Rebecca Bellan — 6:26 PM PDT · March 13, 2023

Microsoft laid off an entire team dedicated to guiding AI innovation that leads to ethical, responsible and sustainable outcomes. The cutting of the ethics and society team, as reported by Platformer, is part of a recent spate of layoffs that affected 10,000 employees across the company.

The elimination of the team comes as Microsoft invests billions more dollars into its partnership with OpenAI, the startup behind art- and text-generating AI systems like ChatGPT and DALL-E 2, and revamps its Bing search engine and Edge web browser to be powered by a new, next-generation large language model that is “more powerful than ChatGPT and customized specifically for search.”

The move calls into question Microsoft’s commitment to ensuring its product design and AI principles are closely intertwined at a time when

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the company is making its controversial AI tools available to the mainstream.

Microsoft still maintains its Office of Responsible AI (ORA), which sets rules for responsible AI through governance and public policy work. But employees told Platformer that the ethics and society team was responsible for ensuring Microsoft's responsible AI principles are actually reflected in the design of products that ship. The team had been recently working to identify risks posed by Microsoft's integration of OpenAI's technology across its suite of products.

The ethics and society team wasn't very large — only about seven people remained after a reorganization in October. Sources who spoke with Platformer said pressure from the chief technology officer Kevin Scott and CEO Satya Nadella was mounting to get the most recent OpenAI models, as well as next iterations, into customers' hands as quickly as possible.

Last year, the reorganization saw most of the ethics and society team transferred to other teams. On March 6, John Montgomery, corporate vice president of AI, told the remaining members that they'd be eliminated after all. Members of the team told Platformer they believed they were let go because Microsoft had become more focused on getting its AI products shipped before the competition, and was less concerned with long-term, socially responsible thinking.

Teams like Microsoft's ethics and society department often pull the reins on big tech organizations by pointing out potential societal consequences or legal ramifications. Microsoft perhaps didn't want to hear "No," anymore as it became hell bent on taking market share away from Google's search engine. The company said

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every 1% of market share it could pry from Google would result in $2 billion in annual revenue.

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Microsoft couldn't be reached for comment.

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